9. Pensions continued

Defined benefit plans continued

ii) Amounts in the financial statements continued

e) Movements in the fair value of plans' assets

	2019 $ million	2018 $ million
At 1 January	**254.2**	282.6
Interest income on plans' assets	**7.0**	7.0
Employer contributions	**6.6**	6.8
Benefit payments	**(11.4)**	(12.1)
Plan administration expenses	**(0.6)**	(0.5)
Re-measurement gain/(loss) on plans' assets	**25.8**	(14.2)
Exchange adjustment	**9.5**	(15.4)
Fair value of plans' assets	**291.1**	254.2

f) The key financial assumptions

The assumptions used for both plans using a weighted average were as follows:

	2019 %	2018 %
Inflation – RPI	**3.0**	3.2
Inflation – CPI	**2.2**	2.1
Rate of increase in pensionable salaries	**2.2**	2.1
Rate of increase for pensions in payment pre-2001 service	**3.6**	3.7
Rate of increase for pensions in payment 2001 to 5 April 2005 service	**2.9**	3.1
Rate of increase for pensions post-5 April 2005 service	**2.0**	2.1
Rate of increase in deferred pensions	**2.2**	2.1
Rate used to discount plan liabilities	**2.1**	2.8

The mortality assumptions are based on standard mortality tables which allow for future mortality improvements. The assumptions are such that a member currently aged 65 (2018 aged 65) will live on average for a further 22.1 years (2018 22.5 years) if they are male and for a further 24.1 years (2018 24.5 years) if they are female. For a member who retires in 2039 (2018 in 2038) at age 65 (2018 age 65), the assumptions are that they will live on average for a further 23.4 years (2018 23.9 years) after retirement if they are male and for a further 25.6 years (2018 26.0 years) after retirement if they are female.

iii) Amount, timing and uncertainty of future cash flows

The approximate impact to the past service liabilities of changing these main assumptions is as follows:

- Reducing the discount rate by 0.1 per cent per annum would increase past service liabilities by $3.8 million (2018 $3.4 million).
- Increasing RPI inflation by 0.1 per cent would increase the plans' liabilities by $1.4 million (2018 $1.3 million).
- Increasing the life expectancy of a member by one year (by modifying the standard mortality tables using an appropriate scaling factor) would increase past service liabilities by $13.5 million (2018 $11.5 million).

There will also be an impact on the future service cost but given the small active population in these plans this is likely to be insignificant. The sensitivity analysis may not be representative of the actual change as the changes in assumptions may not occur in isolation.